

intervention, shareholder opposition, change in “market conditions,” unfavorable indications from further study, inability to agree on details, and others. The trick here, of course, is to have the judgment, buttressed by experience, to pick the deals most likely to succeed and also those which are likely to occasion the smallest loss if they fail.*

Further Comment on the Examples Above

KAYSER-ROTH. The directors of this company had already rejected (in January 1971) the Borden proposal when this chapter was written. If the operation had been “undone” immediately the overall loss, including commissions, would have been about 12% of the cost of the Kayser-Roth shares.

AURORA PLASTICS. Because of the bad showing of this company in 1970 the takeover terms were renegotiated and the price reduced to 10½. The shares were paid for at the end of May. The annual rate of return realized here was about 25%.

UNIVERSAL-MARION. This company promptly made an initial distribution in cash and stock worth about \$7 per share, reducing the investment to say 14½. However the market price fell as low as 13 subsequently, casting doubt on the ultimate outcome of the liquidation.

Assuming that the three examples given are fairly representative of “workout or arbitrage” opportunities as a whole in 1971, it is clear that they are not attractive if entered into upon a random basis. This has become more than ever a field for professionals, with the requisite experience and judgment.

There is an interesting sidelight on our Kayser-Roth example. Late in 1971 the price fell below 20 while Borden was selling at 25, equivalent to 33 for Kayser-Roth under the terms of the exchange offer. It would appear that either the directors had made a great mistake in turning down that opportunity or the shares of Kayser-Roth were now badly undervalued in the market. Something for a security analyst to look into.